

Question 1/25

Marks: 02

Which of the following is NOT a feature of a limited company?

- a) It can raise funds by issuing shares
- b) Its owners have unlimited liability
- c) It is subject to increased government restrictions
- d) It has a separate legal identity from that of its owners

Answer: b) Its owners have unlimited liability

Question 2/25

Marks: 02

The shareholders elect a _____ to govern and handle the overall management of the company.

- a) Committee
- b) Board of Directors
- c) Council
- d) Board of Stakeholders

Answer: b) Board of Directors

Question 3/25

Marks: 02

The ideal duration of a human resource plan is:

- a) below three years
- b) three to seven years
- c) over three years
- d) three to five years

Answer: d) three to five years

Question 4/25

Marks: 02

The primary purpose of a VPN (Virtual Private Network) is to:

- a) provide free internet access to users
- b) replace all networking equipment

- c) increase internet speed
- d) connect private networks over a public network securely

Answer: d) connect private networks over a public network securely

Question 5/25

Marks: 02

Which of the following is NOT the use of an information system?

- a) It assists in making accurate decisions
- b) It assists in performance measurement by comparing actual activity with the budgeted activity
- c) It assists in controlling that processes are implemented as planned
- d) It assists in planning the allocation of resources

Answer: ~~a) It assists in making accurate decisions~~

Question 6/25

Marks: 02

_____ is an unbroken line of authority that extends from the top of the organization (e.g. a CEO) all the way down to the bottom.

- a) Chain reaction
- b) Span of control
- c) Hierarchy
- d) Chain of command

Answer: d) Chain of command

Question 7/25

Marks: 02

The main objective of conventional banking is to:

- a) provide loans only on a profit-sharing basis with customers
- b) generate profit by charging higher interest rates on loans than those paid to depositors
- c) promote charitable and welfare activities without expecting any return
- d) eliminate all forms of interest from financial transactions

Answer: b) generate profit by charging higher interest rates on loans than those paid to depositors

Question 8/25

Marks: 02

The products that are widely available to consumers and are frequently purchased, and easily accessible are called:

- a) industrial products
- b) specialty products
- c) shopping products
- d) convenience products

Answer: d) convenience products

Question 9/25

Marks: 02

Which TWO of the following are characteristics of the functional organization structure?

- a) There is no duplication of work
- b) There is less duplication of tasks
- c) There is highly effective interdepartmental coordination and communication
- d) People in each function have comparable skills and perform similar tasks

Answer: b) and d)

Question 10/25

Marks: 02

Which of the following is NOT a type of on-the-job training?

- a) Job instruction manuals
- b) Simulation
- c) Apprenticeships
- d) Orientation

Answer: b) Simulation

Question 11/25

Marks: 02

_____ is a systematic approach of identifying and satisfying consumers' needs.

- a) Selling
- b) Marketing
- c) Accounting
- d) Branding

Answer: b) Marketing

Question 12/25

Marks: 02

A company has two divisions. In division I, products are manufactured and then transferred to division II for packaging. This is an example of:

- a) product-based structure
- b) geographical-based structure
- c) customer-based structure
- d) process-based structure

Answer: d) process-based structure

Question 13/25

Marks: 02

The key feature of real-time processing is that:

- a) the master file is updated immediately after each transaction
- b) transactions are stored before being processed
- c) it acts as a main instrument for character recognition
- d) it uses magnetic devices to produce complex results

Answer: a) the master file is updated immediately after each transaction

Question 14/25

Marks: 02

_____ refers to the number of subordinates a superior can effectively manage.

- a) Short structure
- b) Control ratio
- c) Tall structure
- d) Span of control

Answer: d) Span of control

Question 15/25

Marks: 02

Which of the following is NOT a feature of preference shareholders?

- a) They enjoy more voting rights than ordinary shareholders
- b) They are entitled to receive dividends before ordinary shareholders
- c) They are issued with a fixed rate of annual dividend
- d) They have a prior claim to assets in liquidation

Answer: a) They enjoy more voting rights than ordinary shareholders

Question 16/25

Marks: 02

Which of the following best defines globalization?

- a) Expansion of trade and communication among nations
- b) Creation of local trade systems
- c) Increasing integration of economies, cultures, and markets across the world
- d) Limiting businesses within national boundaries

Answer: c) Increasing integration of economies, cultures, and markets across the world

Question 17/25

Marks: 02

Re-cycling of waste material is an example of _____ principle of social responsibility.

- a) integrity
- b) sustaining the environment for future generations
- c) sustaining the environment for future profits
- d) respect for basic human rights

Answer: b) sustaining the environment for future generations

Question 18/25

Marks: 02

_____ is a source of short-term finance that can be raised by means of selling outstanding sales invoices for cash to a third party at a discount.

- a) Receivable factoring
- b) Trade credit
- c) Bank overdraft
- d) Commercial paper

Answer: a) Receivable factoring

Question 19/25

Marks: 02

Debt financing is preferred over equity financing:

- a) to avoid tax payments
- b) to avoid the sharing of voting rights
- c) to reduce the financial risk
- d) to reduce the losses

Answer: b) to avoid the sharing of voting rights